

Nilkamal Ltd



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Executive Summary

- Nilkamal Ltd is a leading Indian player in plastic moulded furniture, material handling equipment, lifestyle/home décor, packaging, and related accessories.
- In FY 2024-25, revenue grew modestly ($\approx 3\text{-}4\%$ YoY) but profitability (EBITDA & PAT) declined, signalling margin pressure.
- The company is rebranding its retail furniture business under “Nilkamal Homes” and has a substantial distribution network and product portfolio.
- However, concerns include declining margins, weakening return ratios, competitive intensity, and challenges converting revenue growth into profits.



Company Overview

Business Profile & Products

Nilkamal operates multiple business verticals:



Nilkamal: Moulded Plastic Furniture, Ready Furniture, etc



Nilkamal Sleep: Mattress and sleep products.



Nilkamal Homes: Furniture, soft furnishings, lifestyle accessories and related décor/homeware.



Nilkamal Edge: Furniture solutions across office, education, healthcare, and public seating.

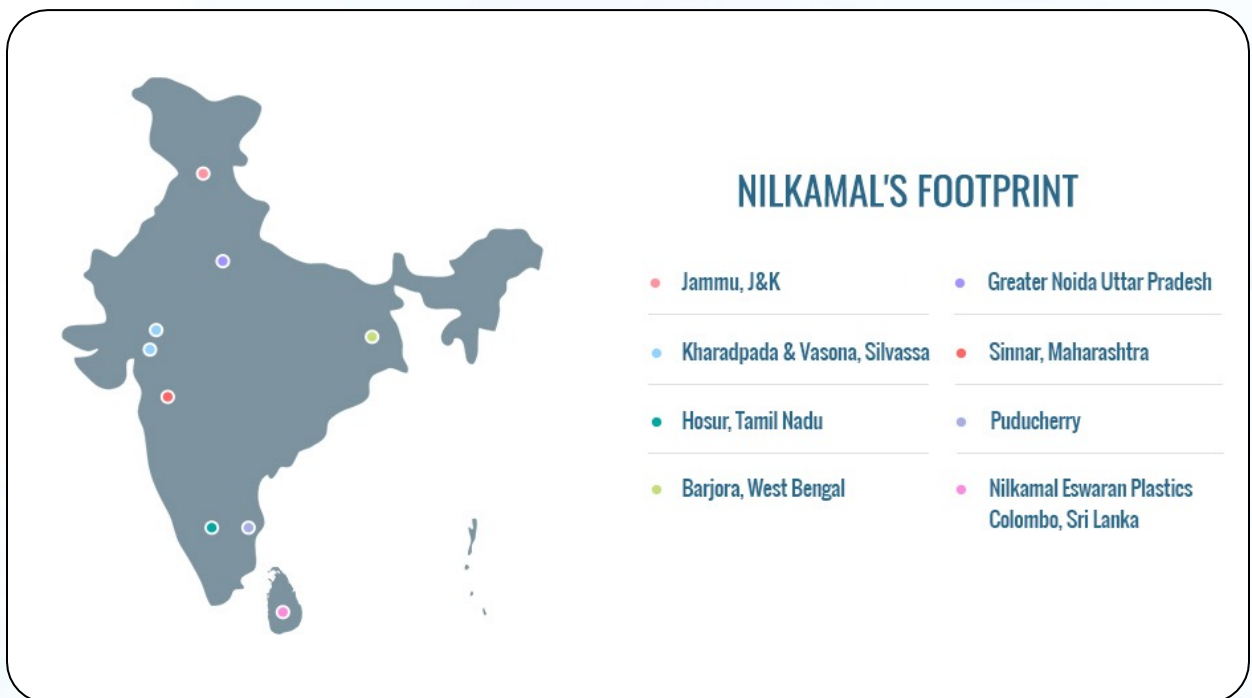
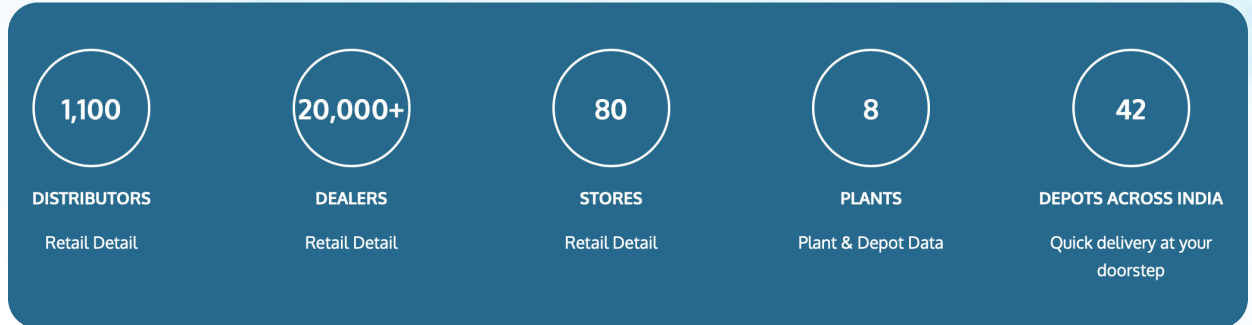


Nilkamal Bubble Guard: Packaging and Industrial Protective Solutions.



Company Overview

Manufacturing, Distribution & Sales Network



- The company has **8 manufacturing plants** across India.
- Distribution and sales network includes ~1100 distributors, ~20,000+ dealers, 42 depots, a mix of company-owned stores, franchise stores, and dealer-owned stores.
- Retail presence under “Nilkamal Homes” is expanding, with 60+ large-format stores.

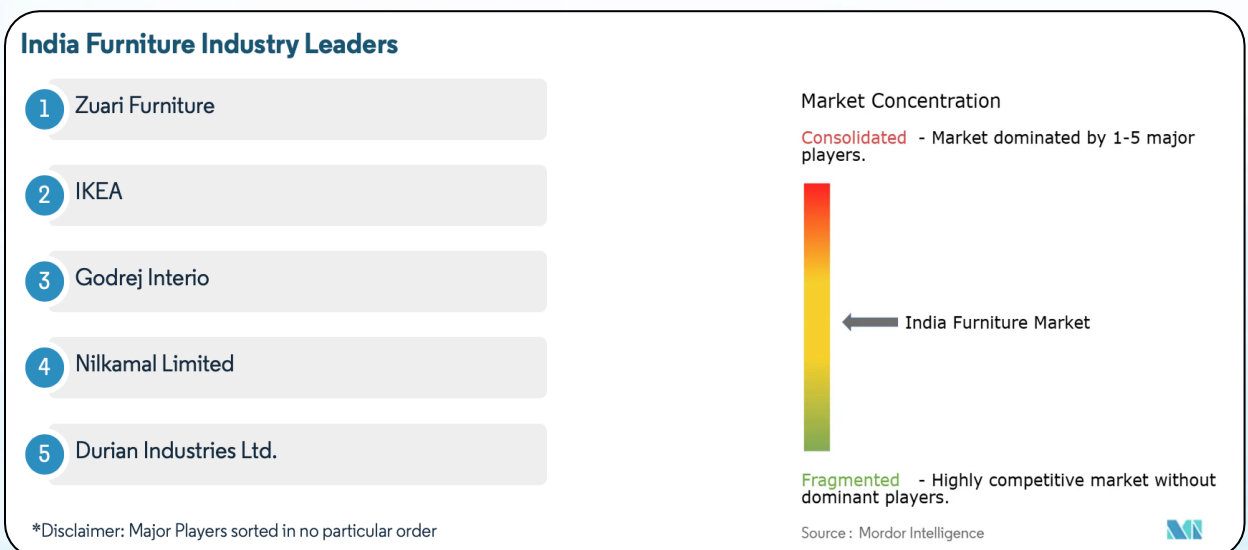


Industry Overview

- The Indian furniture market size stands at USD 29.97 billion in 2025 and is projected to reach USD 43.24 billion in 2030, translating to a 7.6% CAGR.
- Urban migration, steady real-estate completion, and government housing schemes combine with rising digital adoption to keep demand on a healthy upward path.
- Regulatory pressures (on sustainability, plastic waste, and environmental norms) may impact.



- The majority of transactions still flow through unorganised carpenters and local workshops.



Financial Performance Analysis

Particular	Mar-25	Mar-24	Mar-23	Mar-22	Mar-21	Mar-20	Mar-19	Mar-18	3 Yrs CAGR	5 Yrs CAGR
Total Revenue	3324.4	3209.6	3141.9	2742	2108.2	2271.6	2375.4	2127.7	6.60%	7.90%
Operating Profit	282.4	290.4	308.2	221.3	253.1	281.2	213.4	239.4	8.50%	0.10%
OPM %	8.49%	9.05%	9.81%	8.07%	12.01%	12.38%	8.98%	11.25%	1.70%	-7.30%
Net Profit	106.4	122.3	134	83.4	112.9	142.1	117.3	123.5	8.50%	-5.60%
NPM %	2.99%	3.53%	4.03%	2.84%	5.32%	6.03%	4.68%	5.51%	1.70%	-13.10%

Revenue & Profit Trend

- FY25 Revenue stood at ₹3,324 crores, up 3.57% YoY.
- Negligible contribution of other income to revenue.
- Poor Sales Growth
- Falling Operating and Net Margins

Return Ratios and Leverage

- RoCE is continuously declining
- Increasing debt and Debt to Equity Ratio
- Interest coverage ratio in a downtrend, currently at 4.24 times

Inventory & Working Capital

- Current assets and inventory are rising, indicating an inventory pile-up and working capital tie-up.



Technical Analysis



Technical Summary

1. Trading in a bearish trend since covid
2. Both short term and long-term trend showing negative sentiments



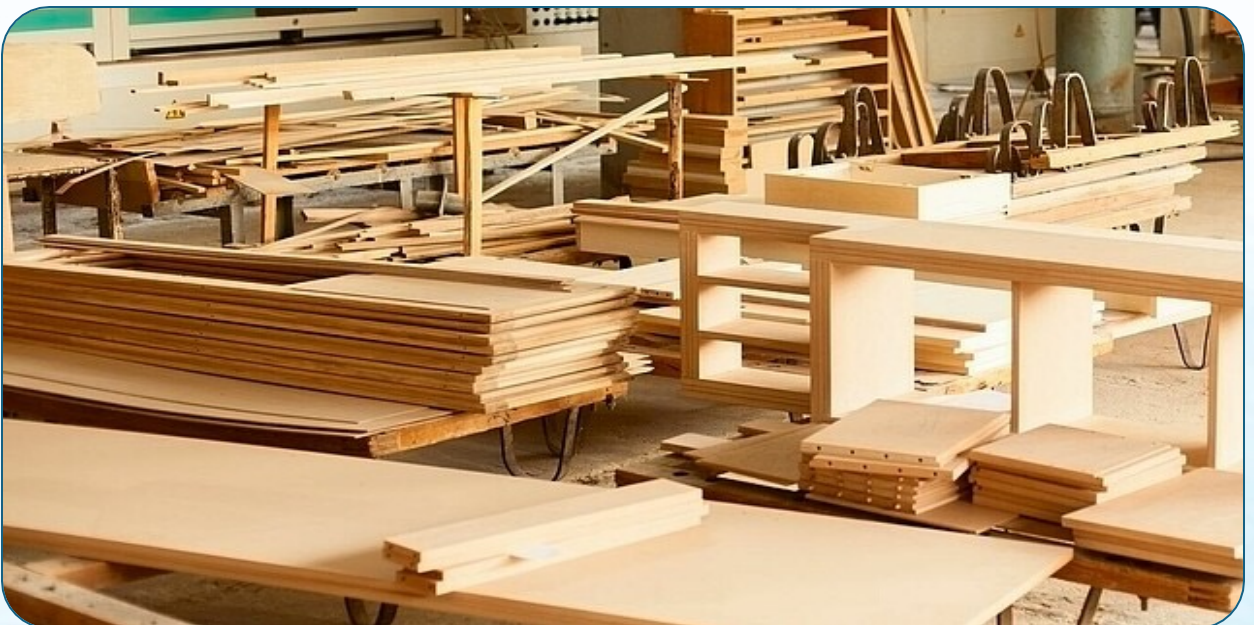
Key Strengths & Growth Opportunities

- Strong **brand recognition** and market leadership in moulded furniture / plastic furniture and material handling.
- Well-diversified product portfolio spanning furniture, packaging, lifestyle, material handling, etc. This helps hedge segmental risks.
- Extensive distribution & retail footprint: thousands of dealers, many stores, depots. This gives reach and presence.
- Some innovation / unique products (BubbleGUARD, packaging/speciality boards) that could offer higher margins if volumes scale.
- Beneficiary of the move from unorganised to organised theme.



Key Risks & Weaknesses

- Margin pressure due to rising costs (materials, labour, logistics).
- Declining profitability: PAT & EBITDA have fallen in the latest year despite revenue growth.
- Weak return ratios - ROCE & RoE.
- Working capital intensity increasing: rising inventories, receivables, current liabilities; may stretch cash flows.
- Competitive environment: both from low-cost local players and imports.
- Retail business risks: store leases, inventory risk, fashion/design risk, and real estate costs.
- Dependency on polymers/plastics raw material supply & pricing; also, regulatory risks around plastic waste, and environmental norms.
- Growth Ratios are not favourable, the company's top line and bottom line have grown in mid-single digit for the last 10 years.
- Profit margin has dropped continuously in the last 5 years, showing competitive pressure.



Outlook and Conclusion

Sector Outlook

- Demand for plastic furniture, material handling equipment, packaging, etc., is likely to remain supported by urbanisation, growth of logistics /warehousing, housing demand, rising incomes, and growth in retail/e-commerce.
- Regulatory focus on plastic waste, sustainability may influence product designs, raw material sourcing, and recycling practices.
- Rising consumer preference for aesthetics, premium design, etc. means opportunity for higher-margin products, but competition is stiff.

Company Outlook

- Nilkamal has scale, brand and reach. If it can manage cost pressures, improve return ratios, and maintain operational discipline (inventory, working capital), there is room to restore profitability margins.
- The company has ample headroom to grow if a shift from **unorganised to organised happens**. Currently, around **80%** of the volume is still with the **unorganised sector**.
- Success of newer lines (BubbleGUARD, packaging, décor) and stronger retail performance (Nilkamal Homes) will be key triggers.
- However, near-term remains challenging: rising costs, declining margins, and Weak earnings indicate that improvement will require focus on cost control and lean operations.



Notes and Disclaimers

- Projections are limited by lack of detailed management guidance in public domain.
- Earnings in recent periods have been volatile.
- Currency / raw material price moves, policy changes (especially environmental regulations) could materially affect future performance.



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SEBI Reg No: INP000004482



pms@moatindia.com



Head office

3rd Floor, National Pearl
Star, Behind Changampuzha
Park Metro Station,
Edappally, Kochi, Kerala,
682024



+91 9895590168



www.moatindia.com



3rd Floor, National Pearl Star, Behind
Changampuzha Park Metro Station,
Edappally, Kochi, Kerala, 682024



+91 9895119714



pms@moatindia.com



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